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the ubiquity of ratios, little effort has been directed toward the formal empirical verification of their usefulness.

The usefulness of ratios can only be tested with regard to some particular purpose. The purpose chosen here was the prediction of failure, since ratios are currently in widespread use as predictors of failure. This is not the only possible use of ratios but is a starting point from which to build an empirical verification of ratio analysis.

"Failure" is defined as the inability of a firm to pay its financial obligations as they mature. Operationally, a firm is said to have failed when any of the following events have occurred: bankruptcy, bond default, an overdrawn bank account, or nonpayment of a preferred stock dividend.[3] A "financial ratio" is a quotient of two numbers, where both num-

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[1] The author is deeply indebted to Harry Roberts, Professor of Statistics, University of Chicago, for his many helpful suggestions dealing with the statistical problems that were encountered in this study.

[2] The current ratio was cited in the literature as early as 1908: William M. Rosendale, "Credit Department Methods," *Bankers' Magazine* (1908), pp. 183–84. For an excellent review of the history and uses of ratios: James O. Horrigan, "An Evaluation of the Usage of Ratios in External Financial Statement Analysis" (unpublished dissertation proposal, Graduate School of Business, The University of Chicago, 1963).

[3] Of the 79 failed firms studied, 59 were bankrupt; 16 involved nonpayment of preferred stock dividends; 3 were bond defaults; and 1 was an overdrawn bank account. For a more complete discussion of the various definitions of failure: Charles W. Gerstenberg, *Financial Organization and Management of Business* (3rd ed., rev.; New York: Prentice-Hall, Inc., 1951), p. 569.

bers consist of financial statement items. A third term, *predictive ability*, also requires explanation but cannot be defined briefly. The various dimensions of predictive ability will be explored later.

The emphasis upon financial ratios does not imply that ratios are the only predictors of failure. The primary concern is not with predictors of failure per se but rather with financial ratios as predictors of important events—one of which is failure of the firm. Further, the primary concern is not with the ratios as a form of presenting financial-statement data but